



NDOLA CITY COUNCIL

FINANCIAL STATEMENTS FOR THE YEAR ENDED

31st DECEMBER, 2024



TOWN CLERK
CIVIC CENTRE
INDEPENDENCE WAY
P.O. Box 70197
NDOLA

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2024 which discloses the income sources, utilization, and balances of cash for Ndola City Council during the period under review.

Background and Location of the Ndola City Council

Ndola City Council is a metropolitan City representative of the city of Ndola. It serves as the sole service delivery supplier of the City of Ndola.

It is located in Ndola Central Constituency along Independence Avenue. Ndola City dubbed "the Friendly City" is the third largest City of Zambia, covering of 1,108 km² with a population of about 451,246 and a projection of about 551,910 as at July 1, 2017. During the slave trade era, Ndola was a slave trading post and was declared a Village Management Board in 1920, a Municipality in 1932 before attaining City status in 1967.

Ndola lies between latitudes 120° and 160° south and between 250° and 30° east of the Equator. It has borders with four (4) districts namely; Masaiti, Mufulira, Luanshya and Kitwe and shares an international boundary with the Democratic Republic of Congo (DRC) to the north.

Ndola falls within the gently sloping Copperbelt pen plain at an attitude ranging from 1250 to 1455 above sea level. The District is characterized by undulating terrain of less than 10 slopes and is dissected by the Mwambashi, Muliashi, Kafubu and Luansobe Rivers, the principle drainage lines to the Kafue River. Though there are isolated highly outcrops at Dola, Nakaputa and Kaloko hills, the average elevation is 1200 m above sea level.

The address of the registered office of Ndola City Council (NCC) is as follows:

The Civic Centre
Independence Way
P O Box 70197
NDOLA
COPPERBELT

REPORT OF THE COUNCIL

Composition of the Council

Ndola City Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act, No.2 of 2019 of the Laws of Zambia. As a Local Authority, the City Council administers City of the Ndola.

The Council is composed of an elected Mayor, thirty (30) elected Councilors from thirty (30) wards, the current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Mayor was re-elected from among the Councilors in 2021 for the final period of two and half years.

The Councilors who held office during the year were:

REPORT OF THE COUNCIL

S/N	NAME	GENDER	POSITION	WARD
1	Jones Kalyati	Male	Mayor	Not applicable
2	Luckson Chisenga	Male	Deputy Mayor	Mapalo
3	Mathias Mweemba	Male	Councillor	Kabushi
4	Simon Muleba	Male	Councillor	Fibobe
5	Akapela Simataa	Male	Councillor	Kaniki
6	Francis Kazembe	Male	Councillor	Mukuba
7	Brian Nkole	Male	Councillor	Dag Hammerskjold
8	Joseph Chanda	Male	Councillor	Nkwazi
9	Gilbert Chota	Male	Councillor	Toka
10	Bernard Chama	Male	Councillor	Kamba
11	Kaweme Lombe	Female	Councillor	Munkulungwe
12	James Banda	Male	Councillor	Kafubu
13	Sandra Mwananyanda	Female	Councillor	Kavu
14	Rhoda Chinene	Female	Councillor	Yengwe
15	Oscar Sinyinza	Male	Councillor	Lubuto
16	Bester Chibwe	Female	Councillor	Pamodzi
17	Kabwe Ntambo	Male	Councillor	Twapia
18	Francis Kabwe	Male	Councillor	Kawama
19	Febby Mpondamali	Female	Councillor	Kansenshi
20	Febian Mwanza	Male	Councillor	Skyways
21	Mathews Musonda	Male	Councillor	Twashuka
22	Cindy Kaluba	Female	Councillor	Mushili
23	Florence Mwambazi	Female	Councillor	Kaloko
24	Gift Kunda	Male	Councillor	Kantolomba
25	Edgar Misenso	Male	Councillor	Chichele
26	Katongo Kampamba	Male	Councillor	Itawa
27	Ngulube Andronicus PK	Female	Councillor	Masala
28	Ivo Chisanga	Male	Councillor	Kanini
29	Phiri Kennedy	Male	Councillor	Chipulukusu
30	Banda Everlisto	Male	Councillor	Chifubu
31	Fewdays Lumbwe	Male	Councillor	Kanyanje
32	Emmanuel Mulenga	Male	Councillor	Lupili

REPORT OF THE COUNCIL

The City also has four (4) elected Members of Parliament who held offices during the year as shown below:

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Frank Tayali	Male	Ndola Central
2	Hon. Warren Mwambazi	Male	Bwanamkubwa
3	Hon. Lloyd Lubozha	Male	Chifubu
4	Hon Benard Kanengo	Male	Kabushi

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Joseph Phiri served as the District Commissioner for Ndola District.

The Council Secretariat

The Secretariat of Ndola City Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by seven (7) Directors responsible for Finance, Planning, Engineering, Public Health, Human Resource and Administration, Legal and Housing and Social Services, and two (2) heads of units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the City and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and Local Government Act No.2 of 2019 of the Laws of Zambia which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the City through various relevant departments of the Council.

REPORT OF THE COUNCIL

Financial Results

	2024	2023
	Kwacha	Kwacha
Cash Receipts	211,426,398	234,817,281
Payments	323,854,467	217,438,376
(Decrease)/Increase in Cash and Cash Equivalents	<u>(112,428,070)</u>	<u>17,378,906</u>

Key Policies Adopted During the Year

The Council adopted the following policies during the year:

Related Party Transactions

Related party transactions with key management personnel were limited to their remuneration during the financial year.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to **K81,353,944**. It did not receive any property from central government or other co-operating partners

The Council disposed off property, plant and equipment during the year amounting to **K435,000**.

Intangible Assets

The Council did not purchase any intangible assets during the year.

Employees

The number of employees at the beginning of the year was **1,349** and **1,327** at the close of the year with the total amount spent on employees' remuneration and welfare during the year was **K97,910,465**.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred **K554,488** towards sponsoring various sporting activities.

REPORT OF THE COUNCIL

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature:



Name:..... JONES KALYATI

Position: Mayor

Date:..... 14TH NOVEMBER 2025

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Ndola City Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 9 to 11.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Ndola City Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the City Council for the financial year ended 31st December 2024.

Signed on behalf of the Council 14TH NOVEMBER, 2025 by;

Name: JONES KALYATI

Name: GEORGE MULENGA

Signature: [Signature]

Signature: [Signature]

Position: Mayor

Position: Town Clerk

Name: [Signature]

Signature: [Signature]

Position: Director of Finance





REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL

INDEPENDENT AUDITOR'S REPORT

STAND No. 7951
HAILE SELASSIE
AVENUE LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA

E-mail: auditorg@ago.gov.zm
Website: www.ago.gov.zm
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To the Minister – Ministry of Local Government and Rural Development

**Report on the Audit of Ndola City Council Financial Statements for the Financial Year
Ended 31st December 2024**

Opinion

I have audited the financial statements of **Ndola City Council** for the financial year ended 31st December 2024 which comprise Statement of Cash Receipts and Payments, Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and a summary of significant accounting policies and disclosures and other explanatory information.

In my opinion, the accompanying financial statements of **Ndola City Council** present fairly, in all material respects, the Statement of Cash Receipts and Payments, Statement of Comparison of



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Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) for the year ended 31st December 2024 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the amended Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Ndola City Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.



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Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing **Ndola City Council's** financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of



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not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of **Ndola City Council**'s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on **Ndola City Council**'s ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, the going concern of **Ndola City Council** is dependent on the government policy decision.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and



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OFFICE OF THE AUDITOR GENERAL

other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Ndola City Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) using Cash Basis IPSAS in line with the LAAPS.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL
OFFICE OF THE AUDITOR GENERAL

Date: 17/11/2025

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED
31ST DECEMBER 2024**

	Note	2024 Kwacha	2023 Kwacha
Receipts			
Local Taxes	2	54,224,061	45,214,194
Fees and Charges	3	48,028,963	24,594,349
Licences	4	8,932,905	8,055,226
Levies	5	420,868	-
Permits	6	16,890,946	14,955,045
Local Government Equalisation Fund	7	23,763,001	22,011,486
Constituency Development Fund	8	40,041,766	113,318,615
Other Grants	9	13,210,471	3,046,950
Borrowings	10	-	-
Commercial Venture	11	3,649	(142,289)
Sector Grant (Devolved Function)	12	5,470,767	
Other Receipts	13	439,000	3,763,706
Total Receipts		211,426,398	234,817,281
Payments			
Personal Emoluments	14	97,910,465	79,936,563
Use of goods and services	15	68,359,555	49,778,886
Financial Charges	16	-	-
Social benefits	17	54,813,257	21,419,837
Non-financial assets acquisition	18	81,353,944	41,216,818
Financial Assets	19	17,666,848	19,582,600
Loan Repayments	20	-	-
Other payments	21	3,750,399	5,503,671
Total Payments		323,854,467	217,438,376
Increase/(decrease) in Cash		(112,428,070)	17,378,906
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	122,689,421	105,310,515
Cash at the end of the year	24	10,261,352	122,689,421

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation, Constituency Development Funds, Zambia Devolution Support Programme and Sector Grant. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name: JONES KALYATI

Signature: [Signature]

Position: Mayor

Name: [Signature]

Signature: [Signature]

Position: Director of Finance

Name: GEORGE MULENGA

Signature: [Signature]

Position: Town Clerk



NDOLA CITY COUNCIL
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2024

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR
THE YEAR ENDED 31ST DECEMBER 2024**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
Receipts							
Local taxes	61,506,184	-	61,506,184	54,224,061	88%	(7,282,123)	-12%
Fees and Charges	49,236,577	-	49,236,577	48,028,963	98%	(1,207,614)	-2%
Licences	7,949,125	-	7,949,125	8,932,905	112%	983,780	12%
Levies	1,046,000	-	1,046,000	420,868	40%	(625,132)	-60%
Permits	15,476,400	-	15,476,400	16,890,946	109%	1,414,546	9%
Local Government Equalisation Fund	29,575,566	-	29,575,566	23,763,001	80%	(5,812,565)	-20%
Constituency Development Fund	122,542,568	-	122,542,568	40,041,766	33%	(82,500,802)	-67%
Other Grants	-	-	-	13,210,471	#DIV/0!	13,210,471	#DIV/0!
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	50,000	-	50,000	3,649	7%	(46,351)	-93%
Sector Grant (Devolved Functions)	9,980,710	-	9,980,710	5,470,767	55%	(4,509,943)	-45%
Other Receipts	1,000,000	-	1,000,000	439,000	44%	(561,000)	-56%
Total Receipts	298,363,130	-	298,363,130	211,426,398	71%	(86,936,732)	-29%
Payments							
Personnel Emoluments	89,387,814	-	89,387,814	97,910,465	110%	8,522,651	10%
Use of goods and services	72,851,446	-	72,851,446	68,359,555	94%	(4,491,891)	-6%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	32,596,323	-	32,596,323	54,813,257	168%	22,216,934	68%
Non-financial assets acquisition	77,557,694	-	77,557,694	81,353,944	105%	3,796,250	5%
Financial Assets	13,969,853	-	13,969,853	17,666,848	126%	3,696,995	26%
Suspense Account	-	-	-	-	-	-	-
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	12,000,000	-	12,000,000	3,750,399	31%	(8,249,601)	-69%
Total Payment	298,363,130	-	298,363,130	323,854,467	109%	25,491,337	9%
Increase/(Decrease in Cash	-	-	-	(112,428,070)		(112,428,070)	

The composition of budget adjustments and explanations of major variances are provided in note 23

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2024

		2024	2023
		Kwacha	Kwacha
Receipts			
Funding	7(a)	23,763,001	22,011,486
Total Receipts		23,763,001	22,011,486
Payments			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		23,737,775	17,609,189
Terminal Benefits		-	-
Utility bills		-	-
Service Provision		-	-
Goods and Services		-	-
Administrative Costs		-	-
Other Costs		-	58,800
Sub-Total		23,737,775	17,667,989
Capital Expenditure Payments:	7(c)		
Infrastructure Development		5,803,655	684,073
Rehabilitation Works		-	3,315,356
Asset Acquisition		-	3,194,000
Other Costs		-	-
Sub-Total		5,803,655	7,193,429
Total Payment		29,541,430	24,861,418
Increase/(decrease) in cash		- 5,778,428	- 2,849,932
Cash at the beginning of the Year		5,778,428	8,628,360
Cash at the end of the Year		0	5,778,428

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE
CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST
DECEMBER 2024**

		2024	Restated
		Kwacha	2023
			Kwacha
Receipts			
Funding	8(a)	38,658,434	112,792,884
Loan Repayments	8(b)	1,340,241	378,792
Accrued Interest	8(c)	43,091	146,939
Other sources	8(d)	-	-
Total Receipts		40,041,766	113,318,615
Payments			
Infrastructure Development	8(e)	33,915,691	24,704,435
Rehabilitation Works	8(f)	11,017,009	8,751,097
Asset Acquisition	8(g)	28,871,513	10,935,020
Social Benefits	8(h)	14,959,818	5,491,634
Loans	8(i)	17,666,848	19,582,600
Secondary School and Skills Dev	8(j)	31,337,324	16,048,973
Administrative Costs	8(k)	10,319,985	6,401,209
Disaster Contingency	8(l)	725,160	-
Total Payments		148,813,348	91,914,968
Increase/(Decrease) in Cash		- 108,771,582	21,403,647
Cash at beginning of the year		111,706,538	90,302,893
Cash at the end of the year		2,934,956	111,706,539

Note 8: Explains the composition of Constituency Development Fund and other details relating to the various elements included in this Statement.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR ZAMBIA
DEVOLUTION SUPPORT PROGRAMME CAPITAL GRANT FOR YEAR ENDED
31ST DECEMBER 2024**

		2024 Kwacha	2023 Kwacha
Receipts			
Funding	9(b)	-	-
Other sources		-	-
Total Receipts		-	-
Payments			
Goods and Services		-	-
Non-Financial Asset Acquisition		-	-
Infrastructure Development		-	-
Rehabilitation Works		-	-
Other Payments		-	-
Total Payments		-	-
Increase/(Decrease) in Cash		-	-
Cash at beginning of the year		-	-
Cash at the end of the year		-	-

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR SECTOR GRANT
(DEVOLVED FUNCTION) FOR YEAR ENDED 31ST DECEMBER 2024**

		2024	2023
		Kwacha	Kwacha
Receipts			
Funding	12(a)	5,470,767	-
Other sources	12(b)	573,061	-
Total Receipts		6,043,828	-
Payments			
Goods and Services	12(c)	3,194,348	-
Non-Financial Asset Acquisition	12(d)	140,158	-
Infrastructure Development	12(e)	-	-
Rehabilitation Works	12(f)	976,034	-
Other Payments	12(g)	-	-
Total Payments		4,310,540	-
Increase/(Decrease) in Cash		1,733,288	-
Cash at beginning of the year		-	-
Cash at the end of the year		1,733,288	-

Note:

The difference between the closing balance in the statement of Cash Receipts and Payments for Sector Grant (Devolved Function) for the year ended 31st December 2024 and the balance in the Sector account as reported on note 23 is as the result of Cash for work transactions which are made from the Sector account.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Ndola City Council is required, under the Local Government Act No.2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 1st January, 2025. The Council is preparing to adopt Accrual Basis IPSASs on 1st January, 2028
- (c) Treasury and Financial Management Circular No 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2025 up to 31st December 2027.
- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – "First Time Adoption of Accrual Basis IPSASs".
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2025 and should end on 31st December, 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Ndola City Council (NCC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund, Local Government Equalizations Fund, Zambia Devolution Support Programme and Sector Grant in the City.

1.3 Authorization Date

The financial statements were authorized for issue on 14TH NOVEMBER 2025 by the ordinary /special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Ndola City Council as a Local Authority to levy, impose, recover, and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- Levi able persons owning or occupying property or premises situated within the area of the City

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- Levi able persons carrying on a business, trade or occupation within the area of the City; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any licenses or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Council recognises all short term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities.

Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

The Average rate and year end rates.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity-Kafubu Water and Sewerage Company
- (b) Principal activity of the entity-Provision of Water and Sewerage
- (c) Percentage of shareholding in the entity-87%
- (d) Receipts in form of dividends and other returns on the investments-Nil

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and Procurement Committees,
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority.

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Ndola City Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Ndola City Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2024	2023
	Kwacha	Kwacha
Residential Rates	8,995,564	9,766,401
Industrial / Commercial Rates	40,640,389	32,233,608
Mining Rates	4,383,597	3,057,841
Personal Levy	204,511	156,344
	-	-
Total	54,224,061	45,214,194

The Council relied on the Valuation Roll updated for the period to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024	2023
	Kwacha	Kwacha
Fees and charges	20,526,835	16,154,374
Land Development Charges	27,502,128	8,439,975
Total	48,028,963	24,594,349

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Consent Fees	312,848	400,300
Survey Fees	212,430	559,460
Building Inspection fees	240,720	924,234
Plan Scrutiny Fees	1,099,240	1,329,893
Change of Premise Use	-	358,000
Rentals/Lease of Council's properties	548,360	419,144
Application Form Fees	989,243	525,930
Sketch Fees	-	-
Search Fees	167,700	189,900
Notice Board Fees	25,300	43,300
Market Fees	3,149,525	2,866,934
Parking Fees	4,908,521	1,222,482
Library Fees	16,309	46,309
Bus Station Fees	859,629	707,543
Erection of Tombstone	52,700	-
Refuse Disposal Fees	487,811	599,599
Notice of Marriage	452,050	284,450
Abattoir/Meat Inspection Fees	-	-
Registration of Clubs and Societies	953,800	723,260
Communication Mast Levy	-	944,103
Land Record	61,800	73,500
Billboard and Banner	1,485,873	1,579,126
Lease of Council Transport	552,334	-
Medical Fees	-	164,732
Penalties	352,120	384,602
Site Rent	-	9,872
Change of ownership of plot	-	213,459
Booth Fees	1,232,976	1,260,781
Hire of Halls	144,400	104,350
Change of Premise use	-	-
Other Fees and Charges/other income	2,221,146	219,110
Total	20,526,835	16,154,374

NOTES TO THE FINANCIAL STATEMENTS

b. Land Development Charges

The Council collected the following land development related charges:

Charges Type	2024	2023
	Kwacha	Kwacha
Service charges - residential plots	-	-
Service charges - Industrial plots	-	-
Premium plots - Residential	17,530,773	3,990,253
Premium plots - Commercial	6,757,123	4,302,709
Land Application Charges	598,720	
Change of Ownership	286,969	
Sub-division of plot	1,676,555	
Land Reguralization	100,000	
Change of Land use	551,988	
Lease charges	-	
Other	-	147,013
Total	27,502,128	8,439,975

4. Licenses

A total of **K8,932,905** Cash Receipts was raised from issuance of various Licenses

Licence Type	2024	2023
	Kwacha	Kwacha
Manufacturers Licence	367,956	316,999
Retail Licence	5,592,802	5,448,555
Wholesale Licence	-	423,795
Occupancy Licence	638,534	37,550
Liquor Licence	365,772	325,862
Firearm and Ammunition Licence	68,200	50,850
Petroleum Licence	1,873,100	1,428,600
Restaurant Licence	-	-
Dog Licence	14,140	12,315
Other Licences	12,400	10,700
Total	8,932,905	8,055,226

NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council managed to generate **K420,868** from mast levy.

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2024	2023
	Kwacha	Kwacha
Health Permit	8,220,332	6,724,000
Burial Permits and Grave sites	3,606,350	3,508,150
Fire Certificates	5,056,265	4,708,945
Extension of business hours permits	8,000	13,950
Public permits (social gatherings, etc)	-	-
Other Permits	-	-
Total	16,890,946	14,955,045

7. Local Government Equalizations Fund

a. Funding

	2024	2023
	Kwacha	Kwacha
1st Funding	2,030,621	1,877,779
2nd Funding	2,070,759	1,842,820
3rd Funding	2,090,379	1,794,640
4th Funding	2,087,729	1,871,856
5th Funding	2,008,437	1,877,981
6th Funding	1,959,666	1,854,231
7th Funding	1,965,644	1,879,848
8th Funding	1,946,776	1,831,909
9th Funding	1,949,000	1,831,318
10th Funding	1,960,470	1,826,545
11th Funding	1,863,758	1,760,991
12th Funding	1,829,763	1,761,567
Total	23,763,001	22,011,486

b. Operational Expenditure

The Council applied amounts totaling **K23,763,001** from LGEF receipts towards meeting operational expenses representing 100% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

c. Capital Expenditure

The Council applied amounts totaling **K5,803,655** from the balance brought forward. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments. There was a change in policy which has abolished 20% capital component.

Note: The amount reported as cash at the beginning of the year of K7,763,967 in the Statement of Cash Receipts and Payments for Local Government Equalization Fund was understated. The amount has now been reinstated to K8,628,360 in the year 2023.

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a) CDF Funding

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	6,990,000	28,198,221
Chifubu	13,492,463	28,198,221
Kabushi	10,000,000	28,198,221
Bwana Mukmbwa	8,175,971	28,198,221
Total Funding	38,658,434	112,792,884

b) Loan Repayments

The Council received a total of K1,340,240.90 from loan repayments during the period under review broken down as follow:

		2024	2023
Constituency		Kwacha	Kwacha
Ndola Central	Loan Repayment	348,004	117,932
Chifubu	Loan Repayment	259,431	30,110
Kabushi	Loan Repayment	231,040	106,599
Bwana Mukmbwa	Loan Repayment	501,766	124,151
Total Funding		1,340,241	378,792

NOTES TO THE FINANCIAL STATEMENTS

c) Accrued Interest

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	9,018	38,562
Chifubu	5,974	46,246
Kabushi	9,708	7,526
Bwana Mukmbwa	18,390	54,604
Total Funding	43,091	146,939

d) Other Sources

There were no funds received from this category.

e) Infrastructure Development

Constituency	Kwacha	Kwacha
Ndola Central	4,924,510	4,303,603
Chifubu	13,758,428	9,527,386
Kabushi	6,213,035	4,809,529
Bwana Mkubwa	9,019,719	6,063,917
Total Infrastructure development payments	33,915,691	24,704,435

f) Rehabilitation

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	8,605,378	4,059,107
Chifubu	226,842	1,135,957
Kabushi	330,589	1,987,420
Bwana Mkubwa	1,854,199	1,568,613
Total rehabilitation payments	11,017,009	8,751,097

NOTES TO THE FINACIAL STATEMENTS

g) Asset Acquisition

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	2,625,400	3,353,421
Chifubu	6,580,300	1,673,544
Kabushi	12,742,862	2,146,380
Bwana Mkubwa	6,922,951	3,761,675
Total	28,871,513	10,935,020

h) Empowerment Grants

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	2,503,000	3,015,634
Chifubu	4,175,000	320,000
Kabushi	4,545,700	1,203,000
Bwana Mkubwa	3,736,118	953,000
Total	14,959,818	5,491,634

i) Loans

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	3,490,000	5,945,000
Chifubu	4,110,000	5,025,000
Kabushi	3,551,600	5,922,600
Bwana Mkubwa	6,515,248	2,690,000
Total	17,666,848	19,582,600

NOTES TO THE FINANCIL STATEMENT

j) Secondary Schools and Skills Development Bursaries

	2024	Restated 2023
Constituency	Kwacha	Kwacha
Ndola Central	9,998,657	2,057,710
Chifubu	6,095,074	3,630,488
Kabushi	9,137,503	4,039,285
Bwana Mkubwa	6,106,090	6,321,490
Total Rehabilitation payments	31,337,324	16,048,973

k) Administrative Costs

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	1,921,783	2,032,513
Chifubu	3,054,673	1,449,843
Kabushi	2,644,300	1,510,409
Bwana Mkubwa	2,699,229	1,408,444
Total	10,319,985	6,401,209

l) Other Payment

	2024	2023
Constituency	Kwacha	Kwacha
Ndola Central	-	-
Chifubu	181,999	-
Kabushi	543,161	-
Bwana Mkubwa	-	-
Total	725,160	-

9. Other grants

During the year, the Council received the funds for cash for work as listed below:

Revenue Sources	2024	2023
	Kwacha	Kwacha
Grants inLiieu of Rates (a)		
Grants from Cooperating (b)		
Other (c)	13,210,471	3,046,950
Total	13,210,471	3,046,950

Note: The other grant recorded above is funding for cash for work

NOTES TO THE FINANCIAL STATEMENTS

10. Borrowings

During the year under review the Council did not borrow cash from any financial institution.

11. Council Commercial Venture

This consists of receipts and payments relating to operations of Kafubu Inn and Ambassador Hotels owned by the Council.

	2024	2023
Receipts	Kwacha	Kwacha
Restaurant Sales Receipts	221,454	99,477
Lodging receipts	1,329,893	1,319,937
Food and beverages sales receipts	238,554	158,152
Others	218,312	164,800
Total	2,008,213	1,742,366
Payments		
Restaurant purchases	401,258	369,517
Beer and beverages	234,208	160,133
wages	35,269	117,455
Administrative Costs		
Capital	83,200	
Others	1,250,629	1,237,551
Total	2,004,564	1,884,656
Surplus/deficit	3,649	(142,289)

12. The Council received Grants totaling **K5,470,767** in its bank account from the Treasury for the Devolved Functions of the Central Government broken down as follows

a) Funding

	2024	2023
Details	Kwacha	Kwacha
Primary Health Care Services	3,435,357	
Pontoons, Ferries, Jetties and Piers	70,000	
Community Sport	215,520	
Cultural Matters		
District Archives	-	
Veterinary Services	34,418	-
Vehicle Licensing	1,715,472	
Harbours	-	-
Total	5,470,767	-

NOTES TO THE FINANCIAL STATEMENTS

b) Other Receipts

Other Receipts	2024 Kwacha	2023 Kwacha
Cash for Work		
Other	573,061	-
Total	573,061	-

c) Goods and Services

	2024 Kwacha	2023 Kwacha
Office Running costs	71,205	
Building repair & Maintenance cost	10,728	
Plant, Machinery & Vehicle running cost	1,308,516	
Administrative operating cost	84,140	
Requisites	1,202,196	
Services	79,120	
Travel Expenses	438,442	
Training Expenses		
Legal Charges	-	-
Other cost		
Total	3,194,348	-

d) Non-Financial Asset Acquisition

	2024 Kwacha	2023 Kwacha
Office Equipment	65,198	
Plant & Machinery	74,960	-
Total	140,158	-

e) Infrastructure Development

	2024 Kwacha	2023 Kwacha
Infrastructure Development	-	-
Total	-	-

f) Rehabilitation

	2024 Kwacha	2023 Kwacha
Rehabilitation of Township roads	976,034	-
Total	976,034	-

NOTES TO THE FINANCIAL STATEMENTS

g) Other Payments

	2024	2023
	Kwacha	Kwacha
Other payments	-	-
Total	<u>-</u>	<u>-</u>

13. The Council had other receipts amounting to **K439,000**.

	2024	2023
Details	Kwacha	Kwacha
Other Receipts	439,000	3,763,706
Total	<u>439,000</u>	<u>3,763,706</u>

Note: Other receipts are proceeds from disposal of assets.

14. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2024	2023
	Kwacha	Kwacha
Salaries Division 1	17,833,560	14,998,406
Salaries Division 2	18,623,963	19,742,160
Salaries Division 3	20,424,562	15,058,664
Wages- Division 4	35,353,203	19,214,215
Other wages	5,675,177	10,923,118
Total	<u>97,910,465</u>	<u>79,936,563</u>

NOTES TO THE FINANCIAL STATEMENTS

15. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2024	2023
	Kwacha	Kwacha
Office Running Costs	9,380,483	3,931,034
Building, Repair and Maintenance Costs	2,481,516	1,399,083
Plant, Machinery and Vehicle Running and Maintenance Cost	16,619,025	6,003,444
Other Administrative operating costs	4,241,534	3,776,528
Requisites	11,738,461	1,753,201
Services	14,649,415	25,406,873
Travel expenses	5,431,027	4,471,273
Training	717,900	633,041
Medical costs	-	-
Other costs	3,100,195	2,404,409
Total	68,359,555	49,778,886

16. Financial Charges

The Council did not pay any financial charges.

17. Social Benefits

Social benefits include payments towards grants, skills development and Cash for work. During the year under review, the Council made social benefit payments amounting to **K54,813,257**.

Details	2024	2023
	Kwacha	Kwacha
Grants	14,959,818	-
Bursaries	31,337,324	-
Cash for work	8,516,115	-
Total	54,813,257	-

NOTES TO THE FINANCIAL STATEMENTS

18. Non-financial Asset Acquisition

Acquisition of assets involved the following payments:

	2024	2023
Tangible Assests	Kwacha	Kwacha
Purchase of Office Furniture	37,940	147,759
Purchase of Furniture-CDF	8,291,131	5,538,436
Purchase of Office Equipment-CDF	1,511,715	693,800
Purchase of Office Equipment	1,323,384	848,443
Construction of Buildings	4,789,868	
Infrastructure Development CDF	39,545,473	25,344,799
Purchase of Motor Vehicles, Plant & Equipment	4,163,023	3,384,500
Purchase of Plant & Equipment-CDF	21,691,410	4,654,171
Industrial Buildings	-	-
Office Buildings	-	573,538
	<u>81,353,944</u>	<u>41,185,446</u>
Intangible Assets		
Computer Software	-	31,372
Total	<u>81,353,944</u>	<u>41,216,818</u>

19. Financial Assets

The Council spent **K17,666,848** on empowerment loans.

	2024	2023
Details	Kwacha	Kwacha
Empowerment Loan	17,666,848	19,582,600
	-	-
Total	<u>17,666,848</u>	<u>19,582,600</u>

20. Loan Repayments

The Council did not have any loan in the year under review.

NOTES TO THE FINANCIAL STATEMENTS

21. Other Payments

The Council made payments towards the following:

	2024	2023
	Kwacha	Kwacha
Union Contribution	265,708	182,548
ZRA - PAYE		
NAPSA		
LASF		44,835
Other Creditors	20,000	716,382
Compensation		
Staff Creditors	2,240,926	3,415,436
Subscription to non Professional bodies	-	-
Subscription to Professional bodies (Institutions)		
Long Service	274,624	577,610
Leave Travel Benefits	141,690	409,712
Other expenses	-	-
Land fees refund		
Computer software expense		
ECZ	-	-
NHIMA	82,289	157,148
Other cost	725,160	-
Total	3,750,399	5,503,671

22. Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances.

23. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024	2023
	Kwacha	Kwacha
Cash on hand	-	-
Demand Deposits	10,261,352	122,689,421
Cash equivalents	-	-
TOTAL	10,261,352	122,689,421

NOTES TO THE FINANCIAL STATEMENTS

a. Cash on hand

There was no cash on hand as at 31st December 2024.

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024:

Account Name	Account No	2024 Kwacha	2023 Kwacha
Plot Premium Account	Zanaco -0049298700525	32,272	1,030,579
District Fund A/c	Zanaco-0049298500259	275	280,610
Ward Account	Zanaco-0049298500461	1,940,760	1,431,912
Transit A/c	Zanaco-20116911300166	29,806	235,221
Capital Fund A/C	Zanaco -0049298500360	6,126	7,693,425
Mitengo Operations	First Alliance 0005	6,284	195,151
Fire A/c	First Capital-338	1,188	42,062
Stanbic(Ambassador)		2,247	2,247
Zanaco (Ambassador)		67,616	49,263
Access Bank (Kafubu Inn)	4100000373	7,708	22,413
Ndola Cental CDF	Zanaco-186	302,840	27,279,331
Kabushi CDF A/C	Zanaco-116	442,234	29,968,520
Bwana Mkubwa CDF A/C	Zanaco-159	546,643	25,992,556
Chifubu CDF A/C	Zanaco-113	2,435	23,923,102
Ndola Cental Revolving A/C		302,514	47,729
Kabushi Revilving A/C		255,155	196,870
Bwana Mkubwa Revolving A/C		665,625	3,377,140
Chifubu Revolving A/C		417,510	921,291
Devolved A/C		5,232,112	-
Total		10,261,352	122,689,421

c. Cash Equivalents

The Council did not hold any treasury bills in the period under review.

NOTES TO THE FINANCIAL STATEMENTS

24. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government in February 2024. There was no Subsequent supplementary provisions and approved budget

b. Budget Variances

- **Levies**

The Council planned to collect K1,046,000 and only collected K420,868 representing 40% collection efficiency. The adverse variance of -60% is attributed to non-collection of pole levy.

Local Government Equalization Fund

The Council planned to receive K29,575,566 from Ministry of Finance and National Planning but only received K23,763,001 representing a collection efficiency of 80%. The variance of -20% is attributed to non-disbursement of funds.

CDF

The Council planned to receive K122,542,568 and received K40,041,766 representing 33% collection efficiency. The variance of -67% is attributed to non-disbursement of fund from treasury.

Other Grants

The Council did have a provision of Other grants. However, due to the introduction of cash for work programme, the Council received K13,3210,471.

Commercial Venture

The Council planned to generate a profit of K50,000 from commercial ventures and only managed K3,649 representing a performance of 7%. The variance of -93% is as the result of high maintenance costs.

Other Receipts

The Council planned to collect K1,000,000 and managed to collect K439,000 representing the collection efficiency of 44%. The variance of -56% is attributed to disposal of Council Assets.

NOTES TO THE FINANCIAL STATEMENTS

- **Social Benefits**

The Council planned to spend K32,596,323 and spent K54,813,257 resulting in 168% performance. The variance of 68% is as the result of Empowerment Grants for 2023 which were paid in the year under review and newly introduced cash for work programme.

Financial Assets

The Council planned to spend K13,969,853 and spent K17,666,848 resulting in 126% performance. The variance of 26% is as the result of Empowerment Loans for 2023 which were paid in the year under review.

- **Other Payments**

The Council planned to spend K12,000,000 and only spent K3,750,399 resulting in the performance of 31%. The variance of -69% is as result of inadequate resources attributed to power challenges.

NOTES TO THE FINANCIAL STATEMENTS

25. Provision of Services

The Ndola City Council incurs expenditure relating to offering services it is mandated to provide to the residents of the District.

Type of Services	2024 Kwacha	2023 Kwacha
Development of Layman's Draft By-Laws	-	-
Police- Provision of Security	-	-
Fire Prevention	-	880,707
Fire Fighting	-	-
Solid Waste Management	517,150	397,109
Crematories, Cemeteries and Mortuaries	-	-
Malaria and TB Prevention and Treatment	-	328,364
Control and Regulation of Supply and Sales of Food, Liquor and Other Consumable things	-	-
Make Zambia Clean and Health Campaign	-	-
HIV/AIDS Prevention	-	-
Pool Transport	-	-
Road Transport Affairs and Services	4,495,526	9,755,370
Provision of Street Lights	-	235,312
Parks, Zoos and Botanical Gardens	-	78,598
Mangement of Council Buildings	1,862,361	-
Management and Control of Markets & Bus Stations	-	6,898,778
Ward Development Fund Projects	4,425,800	-
Land Development and Management- numbering	-	-
Sanitation Facility Supply	1,116,350	-
Sports Centres	554,488	729,027
IDP Preparations	-	-
Repair & Maintainance of Roads and Drainage Systems	-	-
Sub Total	12,971,675	19,303,265

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

26. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K 375,217,088.

	Land	Land and Buildings	Plant & Machinery	Motor vehicles	Intangible Assets	TOTAL
	Kwacha	Kwacha	Kwacha	Kwacha		Kwacha
Opening balance	58,584,604	205,510,482	12,710,191	17,461,495	31,372	294,298,144
Additions	-	52,664,413	25,920,398	2,769,133	-	81,353,944
Revaluation	-	-	-	-	-	-
Re-classification	-	-	-	-	-	-
Disposal	-	-	-	435,000	-	435,000
Closing balance	58,584,604	258,174,895	38,630,589	19,795,628	31,372	375,217,088

27. Investments in Other Entities

The Council held shares in the following entities:

NAME OF ENTITY	PRINCIPAL ACTIVITY	PERCENTAGE SHAREHOLDING
Kafubu Water Supply and Sewerage Company	Water supply and sewerage services	87%

The Council did not receive any dividends from its investments during the period under review.

28. Administered Transactions

The Council tax did not administer any funds on behalf of Zambia Revenue Authority.

29. Related Party Disclosures

The following disclosures are made in the financial statements of Ndola City Council:

a. Fringe benefits Disclosures

b. Remuneration of the Councilors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Ndola City Council:

NOTES TO THE FINANCIAL STATEMENTS

Mayor

Aggregate Remuneration **K219,444.**

Number of persons 1

Councillors

Aggregate Remuneration **K2, 232,000.**

Number of persons 31

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration K1, 856,784

Number of persons 08

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

30. External Assistance

Ndola City Council did not receive any external assistance during the period under review

31. Third Party Payments

Ndola City Council did not benefit from payments made by third part

APPENDICES

APPENDIX 1-CREDITORS POSITION

3	NAPSA	38,235,511	8,100,297	-	46,335,808
4	MADISON	1,385,238	527,740	169,294	1,743,683
5	Student Loans	604,741	366,771	-	971,511
6	NHIMA	323,092	1,056,484	1,205,746	173,830
7	Union Dues	216,556	763,220	631,433	348,344
8	Terminal Benefits	25,417,604	13,767,377	2,791,595	36,393,386
9	Long Service Bonus	7,676,971	-	2,799,157	4,877,813
10	Leave Days	525,288	57,631	186,703	396,215
11	Legal Cases	1,723,614	462,050	639,492	1,546,171
12	ZESCO	690,440	-	690,440	-
13	Zamtel	923,336	-	923,336	-
14	Kafubu Water	2,425,213			2,425,213
	TOTAL	186,864,645	37,079,062	14,602,582	209,341,125

APPENDIX 2

DEBTORS POSITION AS AT 31ST DECEMBER 2024

S/n	Details	Amount(k)
1	Rate	179,620,894
2	Billboards	17,864,794
3	Rentals	3,890,089
4	Booths	3,983,939
		205,359,716